

ECONOMICS PAPER 2
(Mock Test 42)
Question-Answer Book

Time allowed: 2 hours 30 minutes
This paper must be answered in English

INSTRUCTIONS

- (1) After the announcement of the start of the examination, you should first write your Candidate Number in the space provided on Page 1 and stick barcode labels in the spaces provided on Pages 1, 3, 5, 7, 9, 11, 13, 15, 17, 19, 21 and 23.
- (2) This paper consists of three sections, A, B and C. Answer ALL questions in sections A and B. Attempt any ONE question in section C.
- (3) Write your answers in the space provided in this Question-Answer Book. Do not write in the margins. Answers written in the margins will not be marked.
- (4) Supplementary answer sheets will be supplied on request. Write your candidate number, mark the question number box and stick a barcode label on each sheet, and fasten them with string INSIDE this book.
- (5) No extra time will be given to candidates for sticking on the barcode labels or filling in the question number boxes after the ‘Time is up’ announcement.

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HKDSE-ECON 2-2 (Mock Test 42)

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2. Tesla is an electric car manufacturer. Recently, it has been affected by the following events:

- Gasoline prices have increased as the Organization of the Petroleum Exporting Countries (OPEC) reduced production.
- The US government has imposed tariffs on metals used in the production of electric cars.

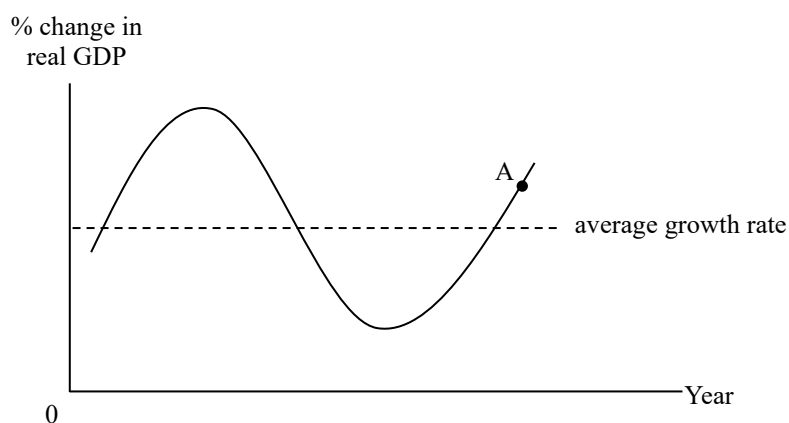
With the aid of a demand-supply diagram, explain the effect of the above events on the equilibrium price of electric cars produced by Tesla in the United States. (6 marks)

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3. In the diagram below, point A is situated in a certain phase of the business cycle.



- (a) Identify the phase of the business cycle which point A is in. (1 mark)
- (b) Apart from the information about the real GDP, suggest **TWO** general economic phenomena that can be observed at point A. (2 marks)

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4. Some investors worry that Country A will experience both rising prices and falling output.
- (a) Some investors sell their shares and convert them into cash because of fears of a recession. Explain how this will affect the nominal interest rate. (3 marks)
 - (b) If the actual inflation rate in Country A is lower than expected, explain whether the holders of fixed-rate bonds issued by the government of Country A would gain or lose. (2 marks)
 - (c) Some investors choose to convert their cash into cryptocurrencies to hold their wealth. Explain which function of money cryptocurrencies perform in this case. (2 marks)

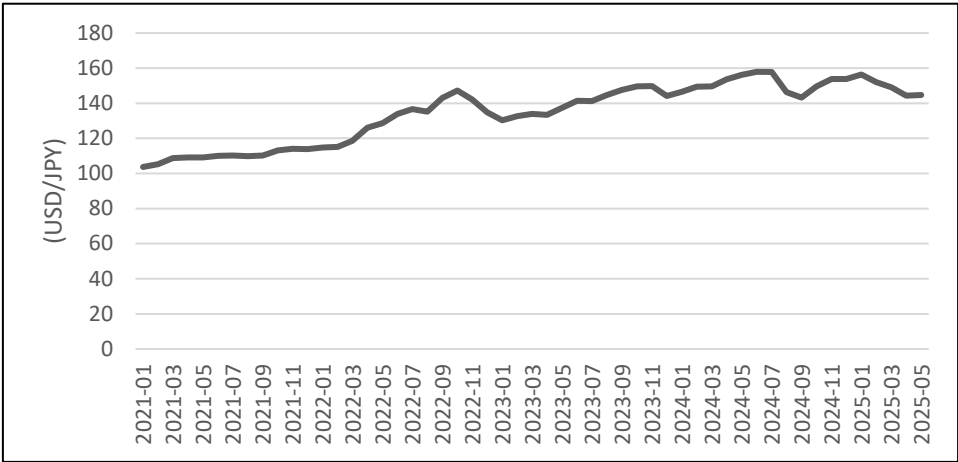
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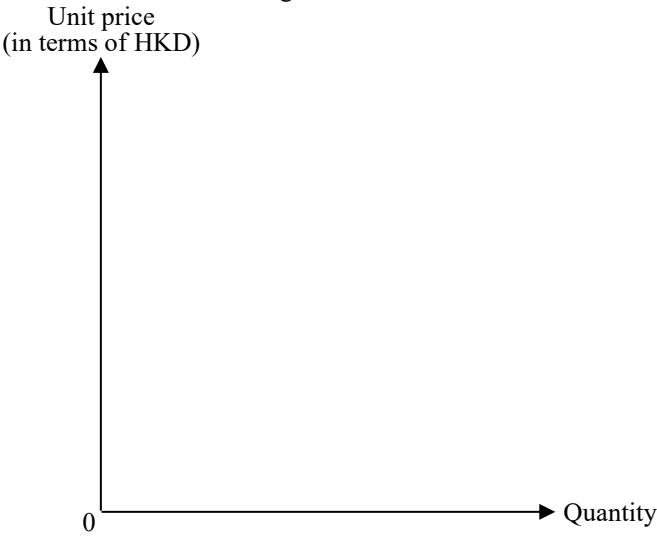
5. The chart below shows the change in the exchange rate between the US dollar (USD) and the Japanese yen (JPY) from January 2021 to May 2025.



(Source: Bank of Japan)

Assume the prices of Japanese goods (in terms of Japanese yen) remain unchanged. With the aid of Figure 1, explain under what condition the change in the exchange rate would lead to a decrease in Hong Kong's total expenditure on Japanese goods (in terms of Hong Kong dollars (HKD)). (8 marks)

Figure 1



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6. The table below shows the balance sheet of a banking system. Suppose the public do not hold cash and the banks hold excess reserves of \$500 million.

Assets (\$ million)		Liabilities (\$ million)	
Reserves	2,000	Deposits	6,000
Loans	4,000		

- (a) Calculate the required reserve ratio. (1 mark)
- (b) State **TWO** possible reasons for banks to hold excess reserves. (2 marks)
- (c) Suppose the central bank sells \$800 million of government bonds to the public. Calculate the maximum possible change in the money supply. Show your workings. (4 marks)

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7. The table below shows the production and consumption data of Country A. The country only produces and consumes food and computers.

	Food (units)	AND	Computers (units)
Total production without trade	60	AND	20
Total production with specialisation	0	AND	100
Total consumption with trade	84	AND	30

- (a) Calculate the opportunity cost of producing 1 unit of computers for Country A. (2 marks)
- (b) Find the terms of trade for 1 unit of computers. (2 marks)
- (c) Suppose Country B is the only trading partner of Country A. Country B has to pay 0.1 units of food as transportation cost for each unit of computers traded and Country B's total gain from trade is 17.5 units of food. Calculate the opportunity cost of producing 1 unit of computers in Country B. (3 marks)

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END OF SECTION A

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Section B (60 marks)

8. Country A has been experiencing a fiscal deficit in recent years, and improving its fiscal situation has become a matter of public concern.
- (a) Explain whether a general sales tax is a direct tax or an indirect tax. (2 marks)
- (b) Compared with raising the standard rate of the salaries tax, discuss **ONE** advantage and **ONE** disadvantage of imposing a general sales tax. (4 marks)
- (c) Suppose Country A initially has a deflationary (output) gap. With the aid of an AS-AD diagram, explain how the imposition of a general sales tax will affect the gap in the short run. (6 marks)
- (d) Suggest and explain **ONE** monetary policy that would improve Country A's fiscal deficit without causing a decline in aggregate output. (4 marks)

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9. In 20X5, several egg farms in Country B experienced outbreaks of bird flu. To prevent the spread of the disease, Country B has culled over 50 million chickens.
- (a) Explain whether the value of these culled chickens would be included in the calculation of the gross domestic product (GDP) of Country B. (2 marks)
- (b) With the outbreak of bird flu, the price of eggs has risen sharply. As a result, some people are planning to raise chickens in their backyards to produce eggs.
- (i) Explain **ONE** function of price illustrated in the above case. (2 marks)
- (ii) Give **TWO** possible reasons to explain why the average cost of producing eggs in backyards is often higher than that in firms specialising in egg production. (4 marks)
- (c) Vaccinating chickens against bird flu can reduce their chances of contracting bird flu. Some people have suggested that the government provide subsidies to egg farms for vaccinating their chickens against bird flu. In terms of externalities, explain how this suggestion can improve economic efficiency. (4 marks)
- (d) Culling chickens has caused egg prices in Country B to rise. To lower the price of eggs, the government of Country B is importing more eggs from other countries. Explain how this will affect the current account balance of Country B. (2 marks)

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10. The public healthcare system in Hong Kong is facing the issues of long waiting times and a shortage of medical staff.

Source A: An interview with a medical staff member in the public healthcare system



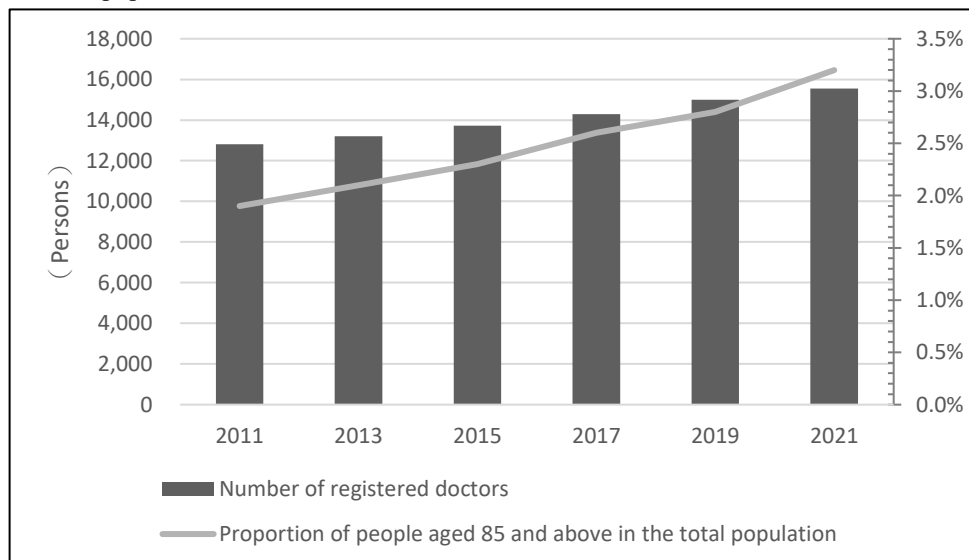
The shortage of staff in the public healthcare system has made the workload even heavier, which in turn makes it difficult for public hospitals to retain talent, making the shortage problem even more serious.

Source B: Hong Kong's policy on non-locally trained doctors

Since 2011-12, the Hospital Authority has implemented a scheme to employ non-locally trained doctors who fulfil certain criteria to alleviate the manpower shortage. In 2021, the government introduced a new special registration pathway, allowing non-locally trained doctors with recognised medical qualifications who fulfil certain criteria to work as doctors in the Hospital Authority and attain full registration without the need to take the local licensing examination.

(Source: various newspapers)

Source C: Number of registered doctors in Hong Kong and the proportion of people aged 85 and above in the total population



(Source: Department of Health and Census and Statistics Department, HKSAR Government)

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Source D: Views of some people on the public medical system

 A low-income person	There is a significant price gap between public and private medical services. Even if the waiting time is longer, I would still choose to use public medical services.
 A current affairs commentator	There is a serious manpower shortage problem in Hong Kong's public medical institutions. Even if more non-locally trained doctors are hired, it will not affect the job opportunities of locally trained doctors.
 A patient	In any medical institution, if doctors are responsible for a large number of patients, the quality of medical services may decline.

- (a) Refer to Source B. Explain to which basic economic question the special registration pathway is related. (2 marks)
- (b) A citizen said, 'Even if the number of registered doctors increases, the excess demand in the market for registered doctors will still increase at the prevailing wage rate.'
- Refer to Source C. With the aid of a demand-supply diagram, explain why the above statement may be correct. (7 marks)
- (c) Refer to Source D. Explain, in terms of opportunity cost, why the low-income person will choose to use public medical services instead of private medical services. (3 marks)
- (d) Refer to the view of the current affairs commentator in Source D. Explain how hiring more non-locally trained doctors would affect the unemployment rate in Hong Kong. (4 marks)

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Suggestion I: To hire more non-locally trained medical staff
Suggestion II: To partially subsidise the consultation fees for public hospital patients to seek treatment at private medical institutions

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Suggestion II: To partially subsidise the consultation fees for public hospital patients to seek treatment at private medical institutions

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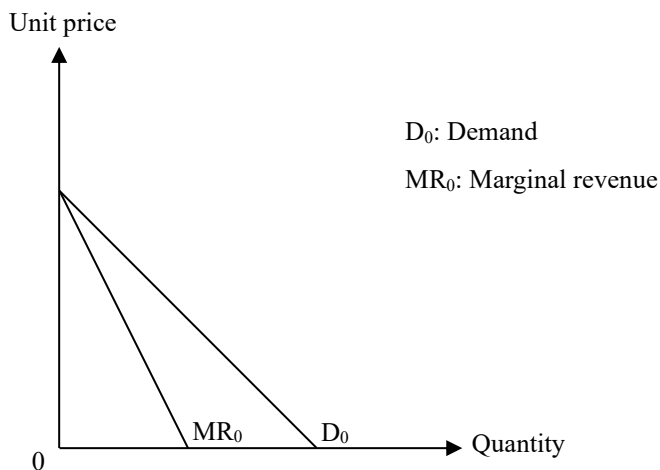
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Section C (16 marks) Answer any **ONE** question.

11. MusicNet is the only online streaming music platform in Country A. The cost of serving one additional listener is zero.

Figure 2



- Suppose MusicNet adopts simple monopoly pricing. Indicate the profit-maximising output and price as Q_M and P_M respectively in Figure 2. (2 marks)
- With the aid of Figure 2, explain why MusicNet adopting simple monopoly pricing will cause a deadweight loss. (2 marks)
- Suppose the demand for the services provided by MusicNet increases while MusicNet does not change its output and price. With the aid of Figure 2, explain whether economic efficiency will be affected. (5 marks)
(For simplicity, assume that the demand curve shifts in parallel.)
- MusicNet offers the following subscription plans.

Basic plan: 60 A-Dollar* per month, limited to 1 device
 Standard plan: 90 A-Dollar per month, allowing 2 devices to stream simultaneously
 Premium plan: 120 A-Dollar per month, allowing 4 devices to stream simultaneously

*the currency of Country A

Explain whether the pricing arrangement constitutes price discrimination. (3 marks)

- MusicNet has signed an agreement with another online music streaming platform in Country B that prohibits that company from entering the market in Country A. In exchange, MusicNet will also not enter the market in Country B.
 - Name the anti-competitive behaviour that the above agreement may engage in. State **ONE** possible motive of MusicNet. (2 marks)
 - If the above case happened in Hong Kong, which conduct rule of the Competition Ordinance would MusicNet have violated? Explain. (2 marks)

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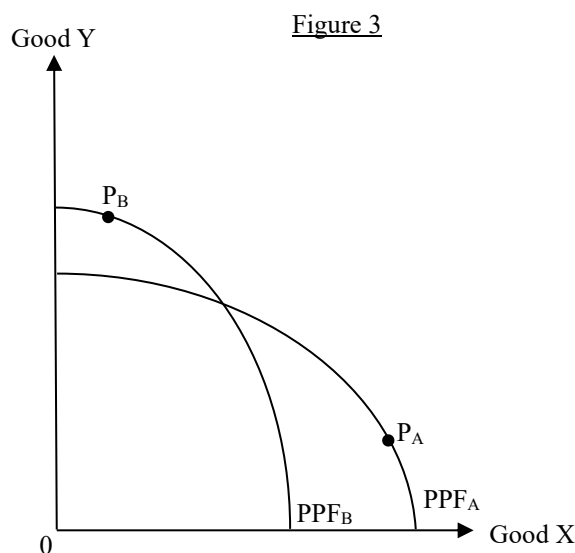
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12. Refer to Figure 3. PPF_A and PPF_B are the production possibility frontiers of Country A and Country B respectively.



P_A and P_B are the production points under autarky of Country A and Country B respectively.

- Explain why the production possibility frontiers of Country A and Country B are concave to the origin. (2 marks)
- Show the opportunity cost of producing good X in the two countries in Figure 3. Explain why Country B has a comparative advantage in producing good X. (Hint: you may add two straight lines at P_A and P_B respectively.) (4 marks)
- Suppose Country A and Country B trade at an international price.
 - Indicate the production points of Country A and Country B after trade as P_{TA} and P_{TB} respectively in Figure 3. (2 marks)
 - Indicate the consumption possibility frontiers of Country A and Country B after trade as CPF_A and CPF_B respectively in Figure 3. (2 marks)
 - Suppose the quantity of good X consumed by Country A before and after trade is the same. Indicate the consumption point (C_{TA}), volume of exports and volume of imports of Country A after trade in Figure 3. (3 marks)

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- (d) The following table shows some data for Country A before and after it opens up to trade.

	Before trade	After trade
Human Development Index (HDI)	0.75	0.82
Expected years of schooling (years)	11.5	10.8

- (i) State **ONE** possible reason to explain the change in the expected years of schooling after trade. (1 mark)
- (ii) Although the HDI has increased, most citizens of Country A believe that their standard of living has declined. State **TWO** possible reasons to explain their views. (2 marks)

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